Executive Summary: Trader Behavior & Sentiment Analysis

Role: Business Systems Analyst Internship Project
Platform: Hyperliquid | **Data Points:** 211,224 trades | **Accounts:** 32

1. Methodology

I synchronized historical transactional data from Hyperliquid with the Crypto Fear & Greed Index to analyze the psychological drivers of trading performance. To identify behavioral patterns, I segmented the 32 unique accounts into three strategic archetypes using median-based thresholds:

- **Whales vs. Minnows:** Segmented by average trade size (Leverage Proxy).
- **Scalpers vs. Position Traders:** Segmented by trade frequency.
- **Alphas vs. Chasers:** Segmented by win-rate consistency and execution aggression (Taker Ratio).

2. Core Insights

- **The Profitability Paradox:** While "Extreme Greed" days offer the highest win rates (38.6%), the largest average daily profits ($5,328) are realized during **Fear** regimes. This indicates that "Strategic Contrarians" who buy into market panic capture significantly more value than those chasing momentum.
- **The FOMO (Fear of Missing Out) Execution Signal:** Aggression (Taker Ratio) scales linearly with market optimism. As sentiment moves from Extreme Fear to Extreme Greed, the Taker Ratio rises from **62% to 69%**. Traders become impatient, paying higher fees to "market-in" to positions due to FOMO.
- **Segment Resilience:** "Alpha" traders maintain a sentiment-proof win rate (42%–56%) across all regimes. In contrast, "Chasers" lose money during Extreme Fear (avg PnL -$32), proving that emotional impulsivity is the primary "leak" in retail performance.

3. Actionable Strategic Output (Rules of Thumb)

- **The Volatility Alpha Rule:** During **Fear** regimes, **Whales** and **Alphas** should increase trade frequency by 20%. This is the highest-edge environment for mean-reversion strategies.
- **The Greed De-Risking Rule:** When the index hits **Extreme Greed**, traders should reduce position sizes by 40% and switch strictly to **Maker (Limit) orders**. This mitigates the risk of "Market Flushes" and avoids the high cost of FOMO-driven Taker entries.